



Discrete Choice Theory of Product Differentiation

Charles Leake

To cite this article: Charles Leake (1995) Discrete Choice Theory of Product Differentiation, Journal of the Operational Research Society, 46:4, 543-543, DOI: [10.1057/jors.1995.74](https://doi.org/10.1057/jors.1995.74)

To link to this article: <https://doi.org/10.1057/jors.1995.74>



Published online: 20 Dec 2017.



Submit your article to this journal [↗](#)



Article views: 40



View related articles [↗](#)



Book Selection

Edited by JOHN M. WILSON

SIMON P. ANDERSON, ANDRE DE PALMA and JACQUES-FRANCOIS THISSE: Discrete Choice Theory of Product Differentiation	543
THOMAS E. MORTON and DAVID W. PENTICO: Heuristic Scheduling Systems	543
C. D. DAYKIN, T. PENTIKAINEN and M. PESONEN: Practical Risk Theory for Actuaries	545
EDWARD J. DUDEWICZ: Solutions in Statistics and Probability (Second Edition)	546

Discrete Choice Theory of Product Differentiation

SIMON P. ANDERSON, ANDRE DE PALMA and JACQUES-FRANCOIS THISSE
MIT Press, London, 1993. xix + 423 pp. £33.95
 ISBN 0 262 01128 X

This book is indeed a pleasure to read. It is simple to understand what the authors are attempting to accomplish and to follow them as they proceed. For anyone interested in discrete choice theory, this book is very useful as it brings together a number of topics that one does not usually have the time to cover in any depth during a course.

The subject matter content of the book might be characterized as mathematics for the sake of mathematics. All you wish to know about product differentiation and choice theory are covered in the book admirably well. However, unless you are keenly interested in this topic, the reading might be a bit slow at times, but the mathematics is all there. The basis of the mathematics, as best as I could make out, is behaviourism. The theories of Fechner and Thurstone are cited as a basis for much of the mathematics. These theories, although still used, are a bit behind the times in American psychology. Neuro-physiology and cognitive psychology are becoming the hotter areas in this field. However, these require a new mathematical approach—neural networks, chaos theory and fractals are prominent. This book does not consider these possibilities—perhaps something to think about in the future. How one would use these mathematical techniques to understand product differentiation and choice theory really needs to be sorted out.

As mentioned earlier, I thoroughly enjoyed reading this book. The mathematical development is first class and for those of us who are so inclined, well worth the effort of reading. It also has many dissertation topics for those who are looking for one. Although there are newer approaches to the subject of the book, I would venture that they will not surface for quite some time to come. I would reserve a special place on my bookshelf for this book and refer to it frequently. I recommend this book for any serious student of decision theory.

CHARLES LEAKE

Heuristic Scheduling Systems

THOMAS E. MORTON and DAVID W. PENTICO
John Wiley and Sons, Chichester, 1993. xiv + 695 pp. £66.00
 ISBN 0 471 57819 3

This volume in the Wiley series in engineering and technology management is about exact and heuristic approaches to scheduling and scheduling systems with applications to manufacturing and project management. Since the emphasis is on developing heuristic systems, the book will